

WHAT'S NEW?

The Middle East conflict has disrupted Viet Nam's energy supply chain, cutting crude imports and increasing reliance on refined petroleum imports from Asia suppliers. As a result, manufacturing activity has slowed as oil-driven input costs have increased. With fuel and transport costs adding to existing housing and food pressures, inflation increased to 4.7 percent from 3.4 percent in February, with indications of pass-through to broader producer prices specially in manufacturing. The fuel price stabilization fund has provided temporary relief, with budget advances and diesel-only support underscoring its limits. Dong liquidity tightened, pushing up interbank rates and prompting the SBV to inject liquidity.

TO WATCH

- Inflation should be monitored closely alongside producer prices, as rising input costs could widen pass-through from fuel to core prices and make inflation harder to contain.
- Viet Nam's trade remains sensitive to global demand and policy uncertainty amid an unpredictable Middle East conflict, which if sustained, could also weigh on domestic asset and currency markets.
- With limited capacity to raise domestic oil production and low strategic oil reserves, it will be critical for Viet Nam to diversify sources of oil supply in the near term, and rebuild oil buffers in the medium term.

Viet Nam Monthly Macro Monitoring Dashboard

	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26
Industrial Production (y/y)	9.9%	9.6%	9.6%	8.0%	7.4%	8.7%	12.7%	10.4%	9.1%	10.1%	19.4%	0.6%	6.9%
Manufacturing PMI	50.46	45.63	49.84	48.87	52.38	50.44	50.37	54.50	53.77	53.05	52.53	54.30	51.23
Retail sales (y/y)	10.8%	11.1%	10.2%	8.3%	9.2%	10.6%	11.3%	7.2%	7.1%	9.8%	9.3%	8.5%	12.1%
Merchandise exports (y/y)	14.9%	20.2%	17.4%	16.8%	16.0%	14.5%	24.7%	17.5%	15.3%	23.9%	29.7%	5.8%	20.1%
Merchandise imports (y/y)	18.8%	22.7%	13.9%	20.6%	17.8%	17.7%	24.9%	16.8%	16.0%	27.7%	49.2%	4.4%	27.8%
CPI (y/y)	3.1%	3.1%	3.2%	3.6%	3.2%	3.2%	3.4%	3.3%	3.6%	3.5%	2.5%	3.4%	4.7%
Core inflation (y/y)	3.1%	3.1%	3.3%	3.5%	3.3%	3.3%	3.2%	3.3%	3.3%	3.3%	3.2%	3.7%	4.0%
Ex. rate (VND/USD, y/y)	3.4%	3.0%	2.4%	2.9%	3.2%	5.0%	6.9%	4.9%	3.7%	3.6%	3.5%	2.2%	2.5%
FDI disbursement (YTD, y/y)	7.2%	7.3%	7.9%	8.1%	8.4%	8.8%	8.5%	8.8%	8.9%	9.0%	11.3%	8.8%	9.0%
Credit growth (YTD, y/y)	17.9%	18.8%	18.8%	19.2%	19.8%	19.9%	20.1%	20.5%	20.2%	19.0%	-	20.2%	-
Generated electricity (y/y)	13.2%	7.5%	9.4%	9.2%	12.5%	11.0%	18.5%	14.2%	8.0%	16.0%	4.2%	-20.0%	-9.8%
Cargo (y/y)	15%	14%	16%	14%	13%	15%	17%	15%	15%	13%	18%	15%	13%
Public inv. disb. rate	9.5%	15.6%	24.1%	32.5%	43.9%	46.3%	46.3%	51.4%	60.6%	82.7%	4.8%	5.6%	14.5%

Source: Haver Analytics, NSO, MOF, S&P, World Bank staff calculation. Note: Color scale represents value percentile over the last 12 months.

Public inv. disb. rate = Public investment disbursement rate. Public investment execution rate is compared to the Prime Minister's annual plan.

March trade data shows that the conflict appears to have increased Viet Nam's reliance on imported refined petroleum products. Crude imports from the Middle East declined due to the Strait of Hormuz disruption, affecting the domestic refining given around 60 percent of crude supply is imported. To meet domestic demand, petroleum product imports from Asian suppliers (mainly from Singapore and South Korea) rose sharply (Figure 1 & Figure 2). Importing from Asia only partly mitigates Viet Nam's Middle East exposure, because Asian refiners themselves depend heavily on Middle Eastern crude with their prices reflecting higher crude prices, shipping costs, and geopolitical risk premiums stemming from the conflict.

Figure 1. Sources of oil imports (2025)

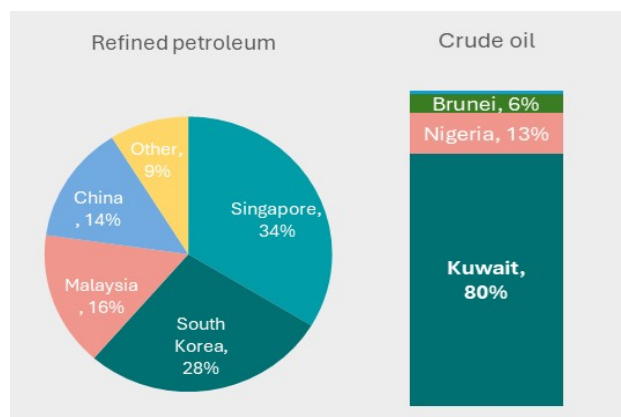
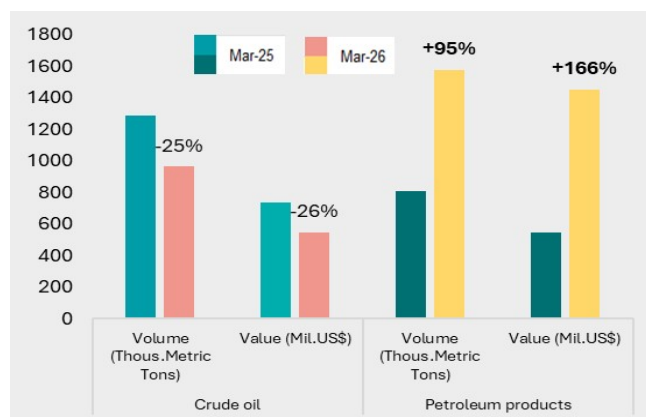


Figure 2. Crude oil and petroleum imports

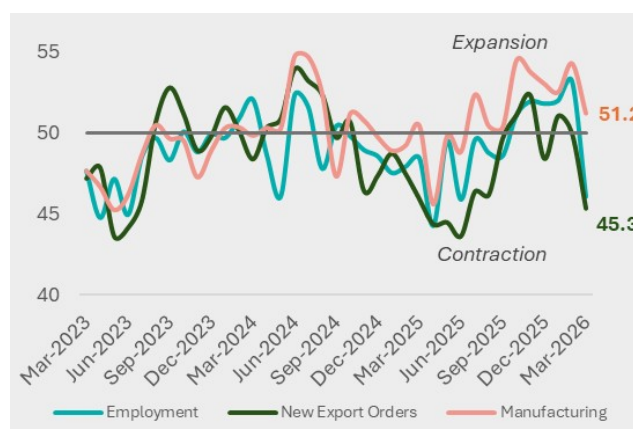


March PMI data show broad-based input price pressures for manufacturing firms and a drop in new export orders. Input price surveys show the majority of manufacturers reporting higher input prices, that are starting to be passed on to final goods prices (Figure 3). The March PMI data also show that while the manufacturing sector continues to expand, albeit at a slower pace than in the first 2 months of the year, firms are scaling back employment and purchasing activity in line with a steep drop in new export orders (Figure 4). In addition, Viet Nam has been explicitly named in the March 2026 U.S. Trade Representative investigation, creating a significant external risk by adding policy uncertainty around future trade restrictions on key exporting sectors.

Figure 3. Manufacturing PMI Input and Output prices (SA, >50 = inflation m/m)



Figure 4. Manufacturing PMI Index (SA, 50+ = Expansion)



CPI rose sharply to 4.7 percent in March from 3.4 percent in February: the pickup reflects both the oil shock and underlying domestic price pressures. Higher oil prices lifted headline inflation through transport costs, adding to broader price pressures from housing and food (Figure 5). Pass-through from global fuel prices was only partial in March, with diesel and petrol retail prices subsidized by 12 percent, cushioned by drawdowns from the fuel price stabilization fund.

The fuel price stabilization fund can only be a temporary tool. Its resources are limited, and its growing reliance on state budget advances—including the VND 8 trillion advance announced on March 27—underscores that it cannot indefinitely absorb prolonged price pressures (Figure 6). The recent decision to subsidize only diesel (announced on April 3^d) reflects a macroeconomic prioritization: diesel is a critical input into freight, logistics, construction, and parts of production, so stabilizing diesel prices can have a larger effect on containing costs and inflation than subsidizing gasoline. But this is best seen as emergency triage rather than a durable solution. It would distort price signals, can become fiscally costly, and does not directly protect vulnerable households. If the shock persists, additional measures could combine limited fuel-price smoothing with targeted support for the most affected households and sectors. Although direct petroleum dependence is strongest in transport, the effects could spread far beyond it, especially to seafood and aquaculture, tourism and hospitality, and food processing through higher logistics, energy, and intermediate input costs. Agricultural producer prices rose sharply by 4.5 percent y/y in Q1-26 (compared to 1.4 percent in Q4-25).

Figure 5. Inflation

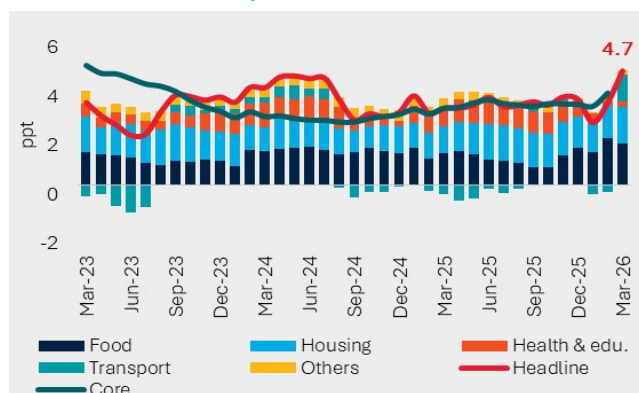
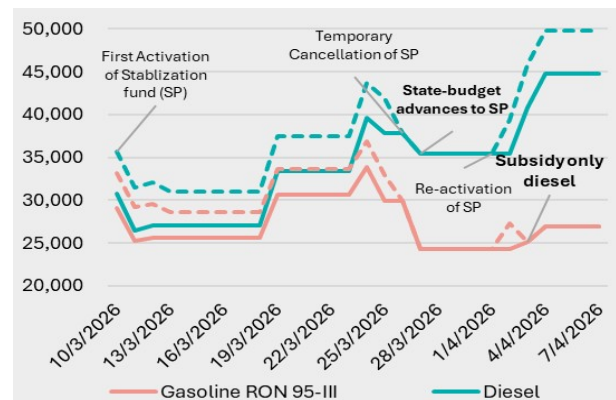


Figure 6. Gasoline and Diesel prices (VND/l)



Consumer spending remains strong. Retail spending (in real terms) had softened in the second half of 2025, likely related to uncertainty around significant administrative restructuring in Viet Nam, public sector layoffs and global trade policy. However, first quarter data show a recovery, with retail sales growing by a robust 6.3 percent yoy in real terms in March (Figure 7).

Dong liquidity has tightened and currency pressures re-emerged in line with a strengthening U.S. dollar, a higher import bill linked to the conflict, and continued foreign outflows (Figure 8). The SBV defended the dong mainly by tightening domestic liquidity rather than through large-scale FX sales, pushing the overnight interbank rate to 11.4 percent on March 30 while deposit rates at commercial banks increased to around 8 percent. The SBV has injected liquidity through OMOs and, on March 30, issued Dispatch 2342 instructing banks to stabilize rates, maintain liquidity and payment capacity, and prevent disorderly market movements. Interbank rates have since eased to about 8 percent.

Figure 7. Retail sales growth, real

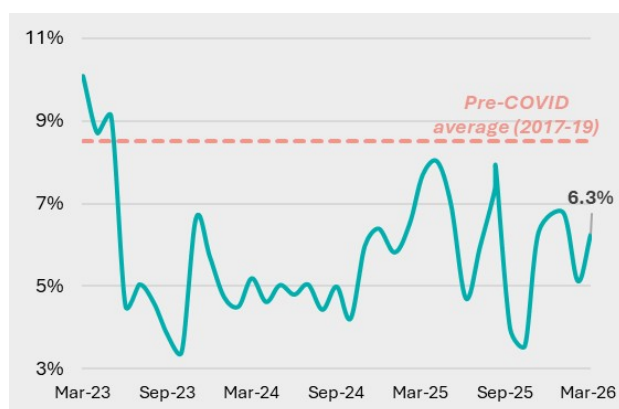
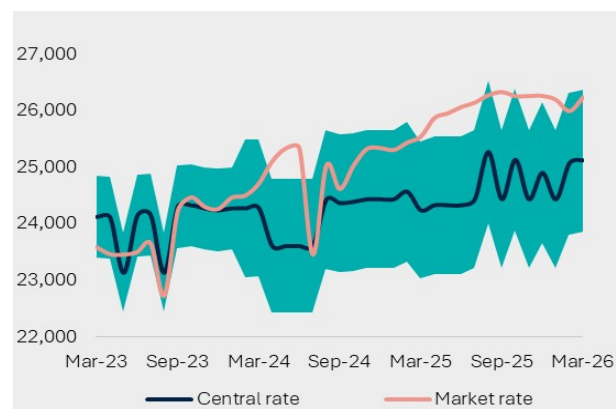


Figure 8. Exchange rate VND/US\$



Selected Economic Indicators

	Q2-25	Q3-25	Q4-25	Q1-26	Dec-25	Jan-26	Feb-26	Mar-26
GDP (in percent y/y, unless otherwise indicated)								
Real GDP growth	8.2	8.2	8.5	7.8				
<u>By demand components:</u>								
Final consumption	-	7.8	7.2	8.5				
Investment	-	9.0	8.9	7.2				
Exports	-	18.3	19.3	19.9				
Imports	-	18.5	19.4	24.3				
<u>By supply components:</u>								
Agriculture	3.8	3.8	3.8	3.6				
Industry and Construction	8.3	8.7	8.9	9.9				
Services	8.1	8.5	8.6	6.8				
Nominal GDP (Billion US\$)	118.7	123.4	141.4	120.3				
Production								
Industrial Production (y/y)	9.3	9.8	9.9	9.0	10.1	19.4	0.6	6.9
PMI (Index, SA)					53.1	52.5	54.3	51.2
Domestic demand								
Retail sales (y/y)	9.0	10.1	8.4	10.9	9.8	9.3	8.5	12.1
Price								
Headline CPI	3.3	3.3	3.4	3.5	3.5	2.5	3.4	4.7
Core inflation					3.3	3.2	3.7	4.0
Labor market								
Labor force participation rate (percent)	68.5	68.6	68.7	68.3				
Unemployment rate (percent)	2.24	2.21	2.22	2.21				
Underemployment rate (percent)	1.73	1.50	1.67	1.68				
Employment change (y/y)	1.06	1.15	1.26	1.39				
Average monthly earnings of workers (Mil. VND)	8.2	8.4	8.7	9.0				
State budget (Trillion dong)								
Revenue					244.2	370.7	170.5	219.3
Expenditure					350.1	163.0	163.0	207.5
Balance of payments (in percent of GDP, unless otherwise indicated)								
Current account	7.3	10.1	5.41					
Good Exports f.o.b	98.2	104.1	89.4					
Good Imports f.o.b	89.9	92.3	82.9					
Capital and financial account	-4.0	-0.5	2.3					
Foreign reserves (YTD, Billion US\$)	81.1	82.2	83.6					
Financial indicators								
Policy rate (Refinancing rate)					4.5	4.5	4.5	4.5
Credit growth (y/y)					19	-	20.2	-

Sources and notes:

All data are from Haver and sourced from the National Statistics Office (NSO) of Viet Nam, except: Government budget revenues and expenditures (Ministry of Finance); PMI and producer price inflation (survey by Nikkei and IHS Markit); Purchasing Managers' Index is derived from a survey of 400 manufacturing companies and is based on five individual indexes on new orders, output, employment, suppliers' delivery times (and stock of items purchased). It is seasonally adjusted. A reading above 50 indicates an expansion of the manufacturing sector compared to the previous month; below 50 represents a contraction; while 50 indicates no change. Retail sales of goods and services are total turnover generated from retailing consumer goods and services of production and business establishments. Real income growth is the nominal growth of average monthly earnings of workers after adjusting for inflation.

SA=Seasonally Adjusted; NSA=Not Seasonally Adjusted; 3mma = three months moving average; LHS = Left-hand Scale; RHS = Right-hand Scale; FOB = Free on Board; CIF = Cost, Insurance, and Freight.